Revision Date:
11/01/2019

Background:
This section provides the Department of Health Care Services' (DHCS) policy regarding a provider's use of the Medi-Cal eligibility verification process, and the provider's subsequent obligation to render services in accordance with Medi-Cal program requirements. This section has been reformatted no other change have been made.

Policy:
Under state law, when a provider elects to verify eligibility by using the Benefits Identification Card (BIC) or photocopying a paper identification card, the provider has obtained proof of eligibility and thus has agreed to accept the individual as a Medi-Cal patient and is bound by the rules and regulations of the Medi-Cal program.

A. Method of Verifying Eligibility

With the implementation of the BIC, there are several methods for a medical provider to access the California Automated Eligibility Verification System (AEVS) to verify an individual's eligibility for Medi-Cal. Providers can access the system by phone, computer software, or a Point of Service (POS) device.

B. State Policy

If the eligibility verification indicates eligible to receive the provider's services, the provider cannot then treat the beneficiary as a private pay patient because the provider is unwilling to bill the insurance, obtain a Treatment Authorization Request or comply with any other program requirement. In addition, having obtained eligibility verification, the provider cannot bill the beneficiary for all or part of the charge of a Medi-Cal covered service, except to collect the Medi-Cal co-payments or Share of Cost (SOC). This means Medi-Cal providers may not bill the beneficiary for private insurance cost sharing amounts, such as deductibles, coinsurance or co-payments.

Situations When A Provider May Decline Medi-Cal Patients

There are situations when the provider may decline to treat the beneficiary as a Medi-Cal patient after requesting eligibility verification. These situations include:

a. The beneficiary refused to pay the required Share of Cost (SOC)
b. The beneficiary has only limited Medi-Cal benefits, preventing the provider from rendering services (e.g., eligible for pregnancy related services only)
c. The beneficiary must receive services from a designated health plan either because he/she is enrolled in a Medi-Cal Managed Care Plan or has private insurance through a Health Maintenance Organization or exclusive provider network, and the provider is not a member of the health plan.
d. The provider cannot provide the particular services the beneficiary requires
e. The individual is not eligible for Medi-Cal

f. The beneficiary is not able to present corroborating identification to verify that he/she is the individual to whom the BIC was issued

A provider may decline to accept Medi-Cal patients, but must do so before accessing eligibility information, except in the situations noted above. If a provider is unwilling to accept the beneficiary as a Medi-Cal patient, the provider has no authority to access confidential eligibility information.

In addition, a provider cannot treat beneficiaries eligible for both Medicare and Medi-Cal as if they were eligible only for Medicare, thereby making the beneficiaries obligated to pay deductibles and coinsurance. In 1983, United States District Court decision, Samuel v. California Department of Health Services, the court held that because the Department pays the Medicare premium for Medi-Cal beneficiaries, the provider must accept the Medicare eligible's Medi-Cal eligibility. They cannot bill the beneficiaries for the Medicare coinsurance and deductible amount since state law precludes providers from seeking reimbursement from the beneficiary.

If a beneficiary is being billed for Medi-Cal covered services, the beneficiary should contact Medi-Cal Helpline at (800) 541-5555.

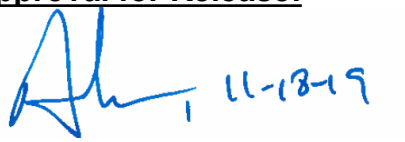
Procedures:
None

Program Impact/s:
None

References:
ACWDL 95-76

Sunset Date:
This policy will be reviewed for continuance by 11/30/2022.

Approval for Release:



Rick Wanne, Director
Eligibility Operations